

Ask Cinderhaven — Why is cash tight when sales are up?

baseline scenario — figures reconcile to Contract-to-Cash Lifecycle

Why is cash tight when sales are up?

Deduction drag is the culprit: 12.7% of every invoiced dollar disappears as deductions before cash arrives — \$6,661,223 deducted across 222 remittances. DSO is 26 days — within range. Worst account: Walmart at 16.0% deduction rate.

12.7% deduction drag

Key numbers

12.7%	Avg deduction rate \$6,661,223 of \$52,128,777 invoiced
26 days	Avg DSO warning at 45 days
\$1,218,030	Working capital in transit $2025 \text{ gross} \div 365 \times \text{avg DSO}$

How this verdict was reached

Deduction drag = $\text{avg}(\text{total_deductions} / \text{gross_amount})$ from `fct_retailer_payments`. DSO = order-value-weighted days from PO date to remittance, each order matched to remittances received 25–55 days after the start of its PO month (canonical method). Working capital = $2025 \text{ gross remittances} \div 365 \times \text{DSO}$. Fires when deduction rate > 12% OR DSO > 45 days. Thresholds from Contract-to-Cash Lifecycle.

Go deeper

Contract-to-Cash Lifecycle: <https://lailarallc.com/contract-to-cash>

Data: Cinderhaven Provisions, a synthetic demonstration dataset (not a client).

Built by Lailara LLC — data hygiene and analytics consulting for specialty food brands scaling into national retail.
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